

VENDOR SERVICE AGREEMENT

Contract Reference: VSA-2024-001

PARTIES

This Vendor Service Agreement ("Agreement") is entered into as of **January 1, 2024** (the "Effective Date") by and between:

TechCorp Solutions Pvt. Ltd., a company incorporated under the laws of India, having its registered office at 42 MG Road, Bangalore, Karnataka 560001 (hereinafter referred to as "Client");

AND

CloudVendor Technologies Ltd., a company incorporated under the laws of India, having its registered office at 18 Cyber City, Hyderabad, Telangana 500081 (hereinafter referred to as "Vendor").

1. TERM

1.1 This Agreement shall commence on the Effective Date of **January 1, 2024** and shall remain in force until **December 31, 2024** ("Initial Term"), unless earlier terminated in accordance with the provisions hereof.

1.2 **Auto-Renewal:** This Agreement shall automatically renew for successive one-year terms unless either party provides written notice of non-renewal at least **30 days prior** to the expiration of the then-current term. The renewal date shall be **December 1, 2024**.

2. PAYMENT TERMS

2.1 In consideration of the services rendered, Client shall pay Vendor a monthly fee of **INR 4,50,000 (Indian Rupees Four Lakh Fifty Thousand only)**, payable within **15 days** of receipt of invoice.

2.2 **Late Payment Penalty:** Any amount not paid by the due date shall accrue interest at the rate of **2% per month** (24% per annum) on the outstanding balance from the due date until the date of actual payment.

2.3 All payments shall be made via NEFT/RTGS to the Vendor's designated bank account. GST shall be charged additionally as applicable.

3. SERVICE LEVEL AGREEMENT (SLA)

3.1 **Uptime Guarantee:** Vendor guarantees a minimum system uptime of **99.9%** measured on a monthly basis, excluding scheduled maintenance windows.

3.2 **Response Time:** Vendor shall respond to critical (P1) incidents within **1 hour** and resolve within **4 hours** of acknowledgement.

3.3 SLA Breach Consequence: For every 1% of uptime below the guaranteed 99.9%, Client shall receive a **service credit of 10% of the monthly fee**. Total credits in any month shall not exceed 30% of the monthly fee.

4. PENALTIES AND LIQUIDATED DAMAGES

4.1 Delivery Delay Penalty: In the event Vendor fails to deliver any agreed milestone on time, Client may deduct **0.5% of the contract value per day** of delay, up to a maximum of 10% of the total contract value.

4.2 Data Breach Penalty: In the event of a data breach attributable to Vendor negligence, Vendor shall pay liquidated damages of **INR 10,00,000** (Ten Lakh Rupees) per incident.

5. TERMINATION

5.1 Termination for Convenience: Either party may terminate this Agreement without cause by providing **60 days written notice** to the other party.

5.2 Termination for Cause: Either party may terminate this Agreement immediately upon written notice if the other party: (a) commits a material breach and fails to cure such breach within 15 days of written notice; (b) becomes insolvent or files for bankruptcy; or (c) engages in fraudulent activity.

5.3 Upon termination, Vendor shall deliver all Client data within **7 days** and permanently delete all copies from Vendor systems.

6. LIABILITY AND INDEMNIFICATION

6.1 Liability Cap: In no event shall either party's total liability under this Agreement exceed **INR 25,00,000** (Twenty-Five Lakh Rupees) or the total fees paid in the preceding 3 months, whichever is lower.

6.2 Indemnification: Vendor shall indemnify, defend, and hold harmless Client from any third-party claims arising out of Vendor's gross negligence, wilful misconduct, or infringement of intellectual property rights.

7. CONFIDENTIALITY

7.1 Both parties agree to keep confidential all proprietary information, trade secrets, and business data disclosed during the term of this Agreement and for **3 years** thereafter. Neither party shall disclose such information to third parties without prior written consent.

8. GOVERNING LAW AND DISPUTE RESOLUTION

8.1 This Agreement shall be governed by and construed in accordance with the laws of **India**. Any disputes shall be subject to the exclusive jurisdiction of the courts of **Bangalore, Karnataka**.

8.2 The parties agree to first attempt resolution through good-faith negotiation for 30 days before initiating formal legal proceedings.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

TechCorp Solutions Pvt. Ltd.

Signed: _____

Name: Rahul Sharma

Title: Chief Procurement Officer

Date: January 1, 2024

CloudVendor Technologies Ltd.

Signed: _____

Name: Priya Patel

Title: Chief Executive Officer

Date: January 1, 2024